Short Selling Master

The David in the video. He turned 29,000 dollars into seven figures in four years on the short side, and his book came out nine days ago. **The short side is not the long side reversed. The risk has a different shape.**

01 The bike

You borrow your friend's bike and sell it for 100. You are betting you can buy the same bike back for 60 before he asks for it, and keep the 40. **That is short selling, whole.** You sell something you do not own, then buy it back cheaper.

- **The best case is capped and the worst case is not.** The bike can only fall to zero, so you can make 100. **It can rise to 500, and you still have to buy it back.** A long has the opposite shape, which is why the stop here is not a safety feature bolted on. It is the position.
- **Ethical short selling is his term for the target.** Not healthy companies. The ones being pumped (hyped upward on promotion rather than results, usually small and thinly traded).
- **The edge is forensic, not predictive.** Red flags in the filings, dilution, promotional language, a float too small for the volume. You are reading paperwork, not guessing direction.

02 The method

Capablanca's stated method is two halves that most traders treat as one. **Find the manipulation, then survive being early.**

- **Timing is the whole second half.** Being right about a pump and early about the top is indistinguishable from being wrong.
- **Overlooked movement is where he says the money is.** Crowded trades have no room. The point of the small and ignored is that nobody else is standing there.
- **Mindset is the load bearing part, not the soft part.** Jack Schwager of the Market Wizards series says the book is useful to long side traders too, which only works if the transferable content is behaviour rather than tickers.
- **Hougaard endorsed it in one word: brilliant.** Same publisher, and the two of them sat down together for the episode these guides came from.

THE ONE IDEA

A long can be held badly and still recover. A short cannot, because the thing that can go wrong has no ceiling. That is why every short seller who lasts talks about risk before he talks about setups.

SOURCES & NOTE

Sources: David Capablanca, Short Selling Master, Harriman House, 2026-08-04, publisher page; Forbes Finance Council profile; The Friendly Bear podcast, episode Q7nKecU-7sE.

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